3.2.2 How the Macroeconomy Works: AD/AS Analysis, the Circular Flow of Income, and Related Concepts

The Circular Flow of Income	There should be an understanding of the circular flow of income concept, the equation income = output = expenditure, and of the concept of macroeconomic equilibrium. *Note: candidates are **not** expected to have a detailed knowledge of the construction of national income accounts.*
Aggregate Demand (AD) and Aggregate Supply (AS) Analysis	Candidates should understand that changes in the price level are represented by movements along the AD and AS curves. They should understand the various factors that shift the short-run AD and AS curves and be able to distinguish clearly the factors which affect long-run aggregate supply from those which affect short-run aggregate supply. They need to understand that economic growth is represented by a rightward shift in the long-run AS curve. Candidates should be able to use AD and AS analysis to help them explain macroeconomic problems and issues. For example, they should be able to use AD and AS diagrams to illustrate changes in the price level, demand-deficient (cyclical) unemployment and economic growth.

The Determinants of Aggregate Demand	Candidates should be able to define aggregate demand and explain and analyse the determinants of aggregate demand, i.e. the determinants of consumption, investment, government spending, exports and imports. In the context of investment, there should be an elementary understanding of the accelerator process. *Note: candidates will* ***not*** *be required to undertake any calculations to illustrate the operation of the accelerator.* Candidates should be able to explain and analyse the determinants of savings, and to appreciate the difference between saving and investment.
Aggregate Demand and the Level of Economic Activity	Candidates should have an understanding of the role of aggregate demand in influencing the level of economic activity. They should be aware of the multiplier process and be able to explain that an initial change in expenditure may lead to a larger impact on local or national income. *Note: candidates will* ***not*** *be required to undertake any calculations to illustrate the operation of the multiplier.*
Determinants of Short-Run Aggregate Supply	Candidates should be able to define short-run aggregate supply and identify the determinants of the short-run AS curve, such as money wage rates, business taxation and productivity
Determinants of Long-Run Aggregate Supply	Candidates should be able to discuss the fundamental determinants of long-run aggregate supply such as technology, productivity, attitudes, enterprise, factor mobility, and economic incentives. The importance of the institutional structure of the economy, such as the role of the banking system in providing business investment funds, should also be understood. *Note: a detailed knowledge of institutions is* ***not*** *required.* Candidates should understand that the position of the long-run AS curve represents the normal capacity level of output of the economy. In the teaching of this part of the unit, emphasis should be given to the assumption that the LRAS curve is vertical but candidates should also have an understanding of the Keynesian LRAS curve.